Award
FINRA Dispute Resolution Services

In the Matter of the Arbitration Between:

<u>Claimant</u> Debra Peterson	<u>Case Number</u>: 25-01063
vs.	
<u>Respondent</u> Morgan Stanley Smith Barney, LLC	<u>Hearing Site</u>: Minneapolis, Minnesota

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Awards are rendered by independent arbitrators who are chosen by the parties to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

Nature of the Dispute: Customer vs. Member

REPRESENTATION OF PARTIES

For Claimant Debra Peterson ("Claimant"): Steven M. Sitek, Esq., Sitek Law LLC, St. Paul, Minnesota.

For Respondent Morgan Stanley Smith Barney, LLC ("Respondent"): Marisa Gomez, Esq., Morgan Stanley Smith Barney, LLC, New York, New York.

CASE INFORMATION

Statement of Claim filed on or about: May 26, 2025.
Claimant signed the Submission Agreement: May 26, 2025.

Statement of Answer filed on or about: July 17, 2025.
Respondent signed the Submission Agreement: July 16, 2025.

CASE SUMMARY

In the Statement of Claim, Claimant asserted the following causes of action: breach of contract, contract reformation, declaratory judgment, and injunctive relief. The causes of action related to Claimant's allegation that despite being named as the sole beneficiary for a Simplified Employee Pension ("SEP") account, Respondent refused to distribute the SEP account proceeds to her, pursuant to the benefactor's wishes and the validly executed and enforceable beneficiary designation.

In the Statement of Answer, Respondent took no position regarding the rightful beneficiary of the SEP account. However, unless specifically admitted in the Statement of Answer, Respondent denied the allegations made in the Statement of Claim and asserted various affirmative defenses.

RELIEF REQUESTED

In the Statement of Claim, Claimant requested damages in an amount in excess of $100,000.00, the exact amount to be established at the hearing, with interest; if necessary, reformation of the SEP beneficiary designation to name Claimant as the sole beneficiary; declaration that Claimant is the sole and rightful beneficiary of the SEP account; an order enjoining Respondent from distributing any finds in the SEP account until further adjudication of the Arbitrator or agreement of the parties; an award of costs and disbursements, including attorneys' fees; and such other and further relief as the Arbitrator deems just and equitable.

In the Statement of Answer, Respondent requested that the Arbitrator dismiss the allegations of breach of contract and determine whether Claimant is the rightful beneficiary of the SEP Account.

OTHER ISSUES CONSIDERED AND DECIDED

The Arbitrator acknowledges having read the pleadings and other materials filed by the parties.

At the hearing, appearing on behalf of the decedent's son was D.K. Claimant objected to D.K.'s attendance, and that objection was overruled. At the conclusion of the hearing, D.K. made two motions: (1) a Motion to Dismiss pursuant to Rule 13700(c) of the Code of Arbitration Procedure ("Code"), and (2) in the alternative, a Motion to Keep the Record Open. Claimant opposed both motions. After considering the arguments, both motions are DENIED.

The Motion to Dismiss is denied because Rule 13700(c) governs dismissal of arbitration proceedings prior to an award by a respondent—typically based on a failure of service or other jurisdictional deficiency. D.K.'s client is not a respondent in this arbitration, and Rule 13700(c) provides no procedural mechanism for a non-party to seek dismissal.

The Motion to Keep the Record Open is DENIED. Rule 13608 of the Code authorizes the panel to decide when the record is closed. The record in this matter is closed as of the date of this decision. The bases for this decision is as follows: The evidentiary hearing was complete, no good cause or necessity was shown to extend the record, and keeping the record open would have introduced unnecessary delay without contributing materially to the Arbitrator's ability to reach a fair and complete decision.

The Arbitrator has provided an explanation of the decision in this award. The explanation is for the parties' information only and is not precedential in nature.

FINDING

Based on the pleadings, testimony, evidence, and arguments presented, the Arbitrator finds that Respondent erred when it failed to update or correct the SEP beneficiary records to reflect that J.T. and Claimant divorced in 2002. The evidence shows that Respondent continued to issue account statements for the SEP listing Claimant as the designated beneficiary for many years. Respondent later asserted that the divorce automatically revoked Claimant's beneficiary designation. However, this Arbitrator finds that Respondent, as custodian, had a duty to maintain accurate account documentation, and its longstanding failure to update or correct the SEP records created a reasonable and detrimental expectation for both J.T. and Claimant regarding the intended disposition of the account. This Arbitrator finds that Respondent's conduct contributed to the uncertainty and confusion regarding the operative beneficiary designation. Accordingly, this Arbitrator determines that Claimant is entitled to receive the SEP funds. Respondent is ORDERED to transfer the assets in the SEP account to Claimant.

AWARD

After considering the pleadings, the testimony and evidence presented at the hearing, and any post-hearing submissions, the Arbitrator has decided in full and final resolution of the issues submitted for determination as follows:

1. Claimant is the rightful beneficiary of the SEP account;

2. Respondent is ordered to transfer the assets in the SEP account to Claimant within thirty (30) days from the date the Award is served.

3. Respondent is liable for and shall pay to Claimant the sum of $500.00 in costs as reimbursement of the non-refundable portion of the filing fee.

4. Any and all claims for relief not specifically addressed herein, including any requests for punitive damages, treble damages, and attorneys' fees, are denied.

FEES

Pursuant to the Code, the following fees are assessed:

Filing Fees
FINRA Dispute Resolution Services assessed a filing fee* for each claim:

Initial Claim Filing Fee	=$	1,790.00

**The filing fee is made up of a non-refundable and a refundable portion.*

Member Fees
Member fees are assessed to each member firm that is a party in these proceedings or to the member firm(s) that employed the associated person(s) at the time of the event(s) giving rise to the dispute. Accordingly, as a party, Respondent is assessed the following:

Member Surcharge	=$	2,210.00
Member Process Fee	=$	4,225.00

Hearing Session Fees and Assessments
The Arbitrator has assessed hearing session fees for each session conducted. A session is any meeting between the parties and the Arbitrator, including a pre-hearing conference with the Arbitrator, which lasts four (4) hours or less. Fees associated with these proceedings are:

One (1) pre-hearing session @ $675.00/session			=$	675.00
Pre-Hearing Conference:	October 1, 2025	1 session		
One (1) hearing session @ $675.00/session			=$	675.00
Hearing:	November 25, 2025	1 session		
Total Hearing Session Fees			=$	1,350.00

The Arbitrator has assessed $337.50 of the hearing session fees to Claimant.

The Arbitrator has assessed $1,012.50 of the hearing session fees to Respondent.

All balances are payable to FINRA Dispute Resolution Services and are due upon receipt.

ARBITRATOR

Frederick Ramos - Sole Public Arbitrator

I, the undersigned Arbitrator, do hereby affirm that I am the individual described herein and who executed this instrument, which is my award.

Arbitrator's Signature

Frederick Ramos	**12/23/2025**
Frederick Ramos Sole Public Arbitrator	Signature Date

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December 23, 2025
Date of Service (For FINRA Dispute Resolution Services use only)